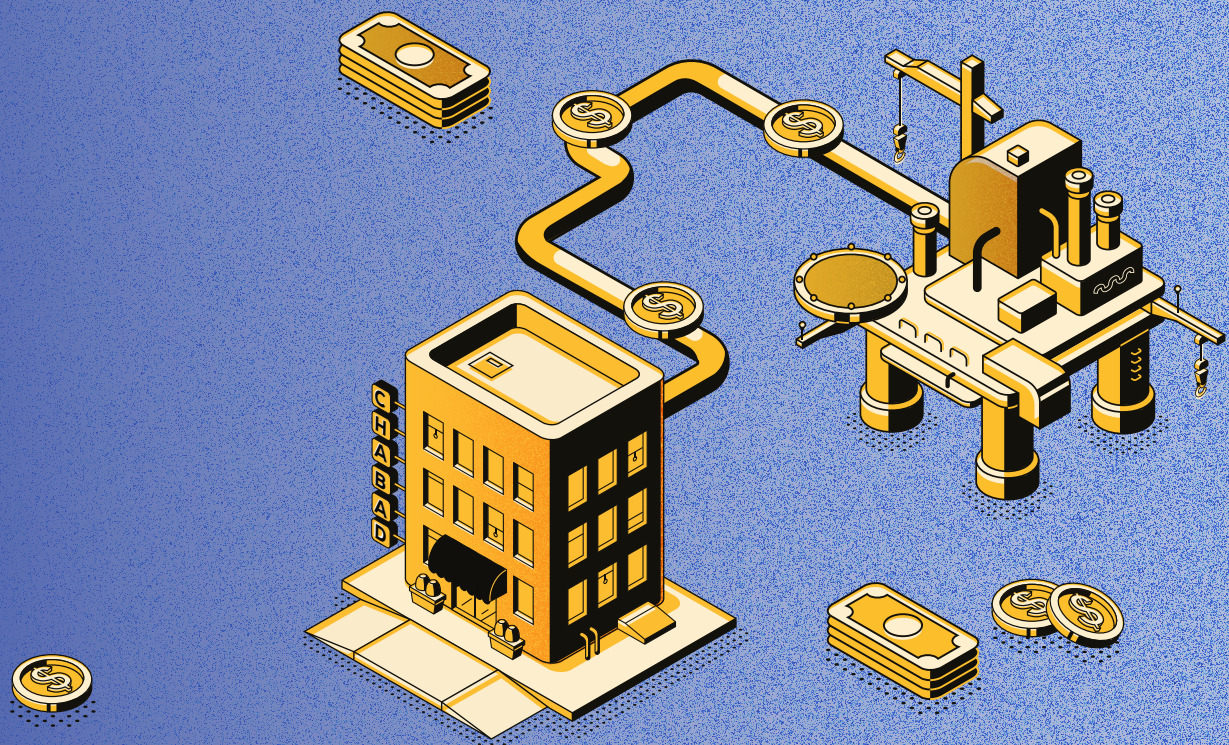




GETTING OVER THE HUMP

► HOW **15 SHLUCHIM** ACQUIRED
LEGACY COMMITMENTS THIS
YEAR & YOU CAN TOO

CONTRIBUTORS

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WRITTEN BY
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► THE ANNOUNCEMENT

Shortly before Rosh Hashanah 5779, a woman stood up on Shabbos during the kiddush at Chabad of Palm Beach Gardens, Florida and asked for attention. The shliach, Rabbi Dovid Vigler, had no idea what she was about to say, so he listened with intent as she announced that the rabbi had asked her to make a commitment and she had decided to grant it. With that she turned to Rabbi Vigler and asked him to fill in the details.

A hush fell over the congregation as the rabbi rose, his face creased in a wide smile. He explained that he had asked this woman several weeks earlier to make a sizable pledge to Chabad to be paid out the following June. But, announced the rabbi dramatically, this pledge would have unique strings attached. For the pledge to be paid, Rabbi Vigler would first need to solicit ten letters of intent from donors who would commit to include Chabad in their will. The future of this gift, concluded Rabbi Vigler, is now in your hands. If ten people sign by June 20, the gift will come through. If not....

Rabbi Vigler is one of fifteen shluchim who are currently participating in a pilot project called the Chabad Legacy Challenge. All fifteen shluchim have made the same announcement, challenging their community to come through and leave a Jewish legacy. Talk about incentive. Suddenly, these communities were incentivized to leave a bequest to Chabad.

In Rabbi Vigler's case, the response was immediate. On the spot, six people raised their hands and committed to sign letters of intent. The Chabad Legacy Challenge became the talk of town and, rather than pushing back at the suggestion, people began to sign up. Several weeks later, on Yom Kippur, the president of Chabad made an appeal for the Chabad Legacy Challenge and announced that he and his wife would both sign letters of intent. This made a huge impression because of the president's prestige and the public nature of his announcement.

Rabbi Vigler now had eight signed letters of intent and it didn't take long for the ninth letter to be signed. Shortly thereafter, the woman who had committed the original pledge asked to speak again on Shabbos at the kiddush. This time she announced that she had solicited the tenth letter of intent. The campaign was on a roll. Rabbi Vigler was receiving letters of intent that he had not even solicited. Donors were so excited about the campaign that they were seeking out additional donors. The buzz was normalizing an idea that was hitherto considered taboo. In fact, as we go to press, fifteen shluchim have collected 53 legacy commitments collectively from their community.

THE CHABAD LEGACY CHALLENGE

Orchestrated by Merkos 302's Chabad Tomorrow, the Chabad Legacy Challenge provides a framework that allows shluchim to approach potential donors about the sensitive topic of legacy gifts.

Rabbi Shuey Eliezrie, who heads up Chabad Tomorrow, believes that shluchim have the opportunity to tap into the largest transfer of wealth that we have ever seen. In fact, Rabbi Eliezrie points out, this is not just an opportunity, it is a necessity. We must solicit legacy gifts if we want to secure our future. As our annual budgets grow, it becomes increasingly difficult to cover our budgets each year through fundraising. We need to establish a secure income source to ensure that we continue to cover our expenses as our organizations expand.

In addition, some ten years ago the United States experienced a recession and many shluchim found that annual donations, upon which they had relied for years, were suddenly at risk. The situation was untenable and there was no way to cover the shortfall. The usual donors were cutting back and new donors were hard to find. Short of cutting programs, there was little in the way of solutions.

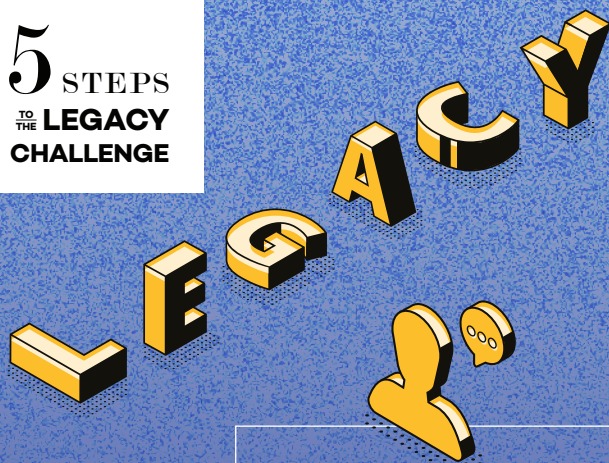
Recessions aren't rare, they occur with some regularity, and when they do, our wells dry up. However, by investing today to cultivate the gifts of tomorrow we will be able to ride out these occasional storms.

MONEY IS AVAILABLE

Let's put it this way. The average legacy gift is approximately \$80,000. To raise \$80,000, most shluchim need to solicit fifteen to twenty donors. Yet, if we secure a single average legacy gift, we can collect the entire amount from a single donor. If we secure ten such gifts, we are well on the way to collecting a million dollars. And this doesn't account for larger than average gifts.

Most people today don't have much access to liquid funds. Their wealth is primarily found in two places, their house and their retirement accounts. Donors who can give \$1,000 or \$1,800 to an annual campaign cannot donate \$80,000. But these donors are much wealthier than their annual gifts imply. The actual value of their house and retirement account can easily exceed one million

5 STEPS TO THE LEGACY CHALLENGE



APPROACH a donor of local prestige, who cares about Chabad and who is willing to motivate others to support Chabad.



ONE DONOR pledges a sizable gift for Chabad now—on the condition that ten donors sign letters of intent to include Chabad in their wills.



THE TIMELINE

Nine months to collect all ten letters or the pledge goes unpaid. This creates urgency for you and your supporters.



TOMORROW FOR TODAY

Their gift of tomorrow helps Chabad today.



CREATE A BUZZ

The Legacy Challenge will open doors for you that you could never open before!

dollars. They can't liquidate these funds, and therefore can't donate \$80,000 today, but they can leave five percent of their will to Chabad, which amounts to \$50,000.

Mr. William Samers, vice president of Planned Giving and Endowments at UJA Federation of New York, says that over the next few decades a staggering amount of wealth will transfer from one generation to the next. Some studies estimate it to be anywhere between forty- to a hundred-thirty-six trillion dollars. Samers also observes that most wealthy people give most of their charity posthumously. For example, Leona Helmsley famously left eight billion dollars to charity, but only donated approximately two-hundred million during her lifetime. And this is not unusual.

The simple truth is that a portion of this enormous wealth will transfer to charities and nonprofit organizations. This is especially true of Jewish donors. According to many studies, Jews leave more money for charity, and specifically religious charities, than any other community. In 2017 more than thirty-seven-billion dollars was transferred to charities through bequests. The reality is that museums, hospitals, and universities are going after these dollars. Chabad should as well.

► THE OBSTACLES

It sounds easy. The ask is relatively simple because it doesn't cost the donor anything up front and by the time the pledge is paid, the donor won't need the money. Presumably, the family won't mind either because the percentage the shliach will receive is relatively small.

So, why aren't shluchim jumping at the opportunity?

Because these asks aren't without challenge. Most shluchim are simply afraid to bring up the subject, fearing they will insult their donors.

In addition, shluchim have many urgent needs that take priority over strategic long-term goals. The fact is that legacy solicitations take years to pay off and shluchim need money today. They also need to organize programs, give classes, and run youth groups. There are

so many priorities that despite the importance and huge potential of planned giving, it invariably takes a back seat to more pressing matters. Donors also have many other priorities. The legacy gift is not unimportant to them, but it isn't the most urgent matter on their plate.

So, how do we get over the hump? How do we allow ourselves to look beyond the first of the month?

Many shluchim use the soft marketing approach. They send out mailers about planned giving several times a year. They include a planned-giving postcard in every donation receipt. They display planned-giving posters and brochures that gradually introduce the community to the idea. They include a short blurb about legacy giving in their weekly email. With time, the subject becomes less threatening and a communal norm.

This campaign lays the groundwork to approach potential donors, but it doesn't secure the actual pledge. To secure the gift, the shliach still must make the ask, and despite the campaign the ask remains uncomfortable.

This is why notwithstanding the phenomenal success that shluchim have experienced in this area—fifty million dollars has been pledged around the country to date—Chabad Tomorrow feels that we have only scratched the surface and more can be done.

THE CHABAD LEGACY CHALLENGE

Enter the Chabad Legacy Challenge. It raises the urgency level, provides a framework, removes the stigma, and creates a buzz.

Here is how it works.

Approach a donor of local prestige, who cares about Chabad and who is willing to motivate others to support Chabad. Speak to your donor about his or her desire to see a strong and vibrant Jewish community. Explain that Chabad's commitment to the community is generational and that they can help secure Chabad's future by pledging a sizable gift—on the condition that ten donors sign letters of intent to include Chabad in their wills. This maximizes their gift; it helps Chabad today and it secures Chabad for tomorrow. Donors can get excited about that.

But the gift comes with a timeline—you

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only have nine months to collect all ten letters or the pledge goes unpaid. This creates urgency for you and your supporters. It forces you to assign planned giving a higher level of priority, similar to the way crowdfunding campaigns force you to secure all your pledges in a defined timeframe.

The challenge also removes the stigma. When you tell donors that signing the letter secures resources for Chabad today, you shift focus from the future to the present. In addition, by maximizing the impact of their gift—their gift of tomorrow helps Chabad today—the challenge creates excitement similar to that of a year-end matching campaign. Through the Legacy Challenge marketing, donors will also see that this is a community-wide initiative and they aren't the only ones being asked. Moreover, the challenge doesn't cost the donor anything today, yet Chabad receives a sizable gift today.

A buzz will soon begin, and when it does, the Legacy Challenge will open doors for you that you could never open before. Rabbi Shalom Moshe Paltiel from Chabad of Port Washington, New York reports that a woman who belongs to a different synagogue, but who attended classes at Chabad for twenty-five years, came forward with a letter of intent when she heard about the challenge.

Rabbi Vigler relates that while he had been a member of Chabad Tomorrow for several years, distributing mailers and brochures and talking about legacy gifts in public, discussing legacy giving continued to be a challenge in one-on-one conversations. All this changed when he launched the legacy challenge.

The Legacy Challenge provides an excuse and a framework to approach donors who you were uncomfortable approaching in the past. Rabbi Eliezie suggests that you cast a wide net by soliciting the biggest names in town. Generate momentum and excitement by publicizing the name of the donor that made the initial pledge. If the donor is well regarded in the community, new donors will be motivated to think of Chabad as a qualified recipient for their charitable dollars.

THROUGH THE LEGACY CHALLENGE MARKETING, DONORS WILL ALSO SEE THAT THIS IS A COMMUNITY-WIDE INITIATIVE AND THEY AREN'T THE ONLY ONES BEING ASKED.

TODAY BEFORE TOMORROW



WHEN DISCUSSING LEGACY GIFTS WITH OUR DONORS, WE MUST USE THE opportunity to teach them the Rebbe's view on planned giving. The Rebbe was not in support of withholding money from tzedakah today so that it could be distributed to tzedakah after our passing. We must therefore encourage our donors to use their liquid funds for tzedakah today and only leave bequests from funds that will not be liquid, or that they will absolutely not distribute to tzedakah, for whatever reason, until after their lifetime. We must also inform them that if a legitimate tzedakah opportunity arises in their lifetime, we would prefer to see them contribute to it rather than preserve their money for Chabad's legacy gift.

ובמה שכותב אודות חילוק מעות לאחר מאה ועשרים שנה.
כבר ידוע דברי כ"ק מו"ח אדמו"ר בכמה משיחותיו שאין דעת השכל נוחה מסדרים כאלו,
כי כל ענין טוב מפני מה ידחו אותו עד לאחר כמה עשירות בשנים, והשי"ת יאריך ימי ושנות
כאו"א בתכ"י ביותר, בה בשעה שאפשר לעשות הענין טוב בעצמו ובחיים חיותו בעלמא דין,
ועי"ז יתוסף עוד באריכות ימים ושנים וכידוע סגולת הצדקה והטוב בזה.
ואף שידועה ההוראה דהמבזבז על יבזבו יותר מחומש משא"כ לאחר מאה ועשרים שנה,
- הנה מלבד שהחומש הרי אפשר לבזבז לכל הדיעות, הרי נוסף על זה כמה אופנים ישנם
שיותר וגם מצוה רבה וחובה לתת צדקה יותר מחלק חומש וכמו שהובאו פרטי הדברים
באחרונים, ומקצתם נמצאים ג"כ באגרת הקדש לרבנו הזקן בכמה מקומות, וראה במיוחד
באגרת התשובה סוף פרק ג' ובאגרת הקדש סוף סי' י"ד, והאריכות בדבר המובן לדכוותי
ברואי אך למותר.

ממכתב כ"י שבט תשי"ז (אג"ק ח"י"ד ע"י שעג)

In your letter, you write about distributing money after 120 years [i.e., after passing away].

As is known, my father-in-law, the [Friediker] Rebbe, spoke a number of times that logic does not condone such methodology. Why should something positive be delayed for many more decades? (May Hashem greatly lengthen the days and years of each person among all of Klal Yisroel!) Instead, you can do the positive act yourself, during your lifetime. This will add length to your days and years even more, as that is the segulah of tzedakah and doing good, as is known.

[You may argue that] Chazal instruct us not to dispense more than a fifth of one's wealth, while this does not apply after death. However, a fifth may surely be disbursed according to all opinions. Furthermore, there are a number of ways in which it is permissible—and even a great mitzvah, and obligatory—to give more than a fifth to tzedakah. Details about this are cited by Acharonim, some of which can be found in various places in the Alter Rebbe's Iggeres Hakodesh. In particular, see Iggeres Hateshuvah end of ch. 3, and Iggeres Hakodesh end of sec. 10. It is surely unnecessary to elaborate on something that someone like you understands [on his own].

Letter of 20 Shevat 5717 (Igros Kodesh, vol. 14, p. 373)

► SECURE THE PLEDGE

The letter of intent doesn't bind the donor legally and will not hold up in court. It is merely

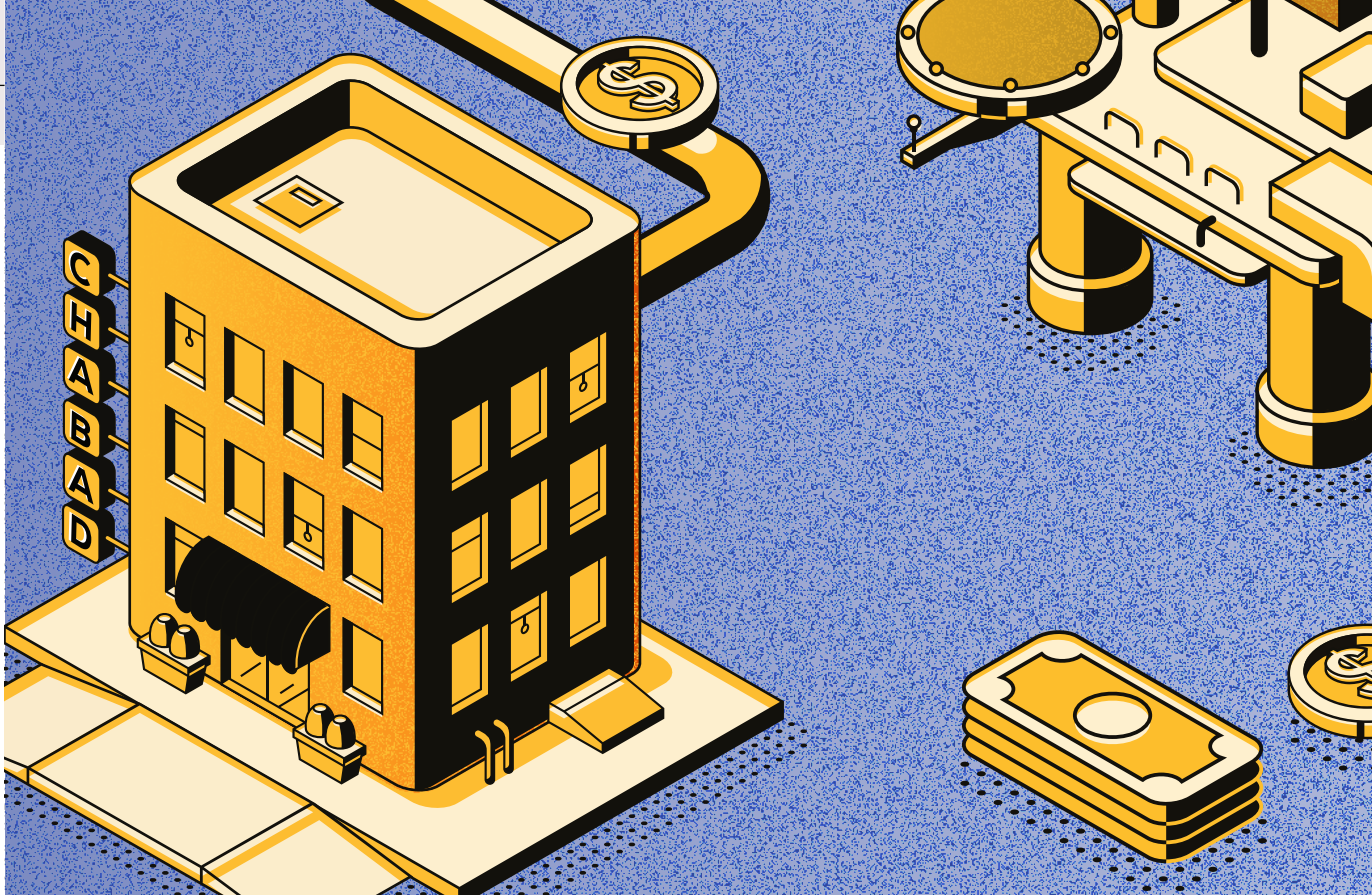
a letter attesting to their current intent. However, once the letter is signed, you have a legitimate reason to continue the conversation.

One way to do this is to ask for permission to share the names of your signatories with other potential donors. This will accomplish two things. It will increase the buzz and excitement and it will further commit those who already signed. If word gets out that they signed the letter of intent, they will be motivated to follow through and include Chabad in their wills.

Rabbi Vigler takes it one step further. At the Chabad annual gala, those who signed letters of intent will be thanked and invited to stand and be recognized. In addition, the list of names will be published and presented to each gala participant. He also intends to place a Jewish Legacy Circle plaque in the lobby of the Chabad House with the names of all signatories. When we celebrate the integrity of their commitment, donors are motivated to follow through and put Chabad in their will.

If they don't follow through on their own, Rabbi Paltiel suggests that you find out what sort of gift excites them. Some donors like to dedicate buildings, others like to endow annual programs, yet others prefer to establish scholarship funds. Each donor has a niche; the key is to find it and to present it properly.

Schedule a meeting and present a proposal. Rabbi Paltiel presents multiple proposals, each in a fully prepared packet, which includes several proposed amounts for the legacy gift, the in-perpetuity-dedications that each amount would



secure, and photoshopped images of appropriate plaques on the wall or the entrance of the Chabad House. The packet also includes the commitments Chabad would make in return, such as officiation at the funeral, Kaddish recitation for eleven months and annually on the *yahrzeit*, memorial plaques, etc.

Rabbi Paltiel then explains that our *neshamah* needs nurturing after our passing and this gift would provide a vehicle through which the donor's *neshamah* can continue to be remembered and loved by the community in perpetuity. Having signed the letter of intent, most donors will come through.

HOW TO JOIN THE CHALLENGE

You need to be a member of Chabad Tomorrow to apply for the Challenge. If you aren't a member yet, you can sign up at chabadtomorrow.org/register.

Applications for the Chabad Legacy Challenge open annually shortly after Pesach and the final list of participants is selected by Rosh Chodesh Tammuz. If you are selected, Chabad Tomorrow will work with you to help you solicit your initial donor and to put things in

SOME DONORS LIKE TO DEDICATE BUILDINGS, OTHERS LIKE TO ENDOW ANNUAL PROGRAMS.... EACH DONOR HAS A NICHE; THE KEY IS TO FIND IT AND TO PRESENT IT PROPERLY.

place for a successful campaign. You will announce the campaign just before Rosh Hashanah, which will give you until June 20 the following year to secure ten letters of intent. Chances are that you will secure more than the ten required letters but let that be your biggest problem.

You hope that you won't see this money in the near future because you want your donors to enjoy a long and healthy life. Yet, when the time comes, this money will secure Chabad in your community for the next generation. And though we believe that *Mashiach* is coming today, the Rebbe taught us to plan for the future and pray that *Mashiach* will disrupt our plans. Would it be, that our plans are disrupted, but let's go out and make those plans.

Think about the *menuchas hanefesh* and long term security that several such gifts can provide. Think about what this investment will accomplish for your *shlichus* and the resources that it will give you to grow your Chabad House. Don't put it off. Get the ball rolling today. 